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BEFORE THE
FEDERAL MARITIME COMMISSION

FILED

AUG 16 2018

PETITION NO. P1-18

Federal Maritime Commission
Office of the Secretary

PETITION OF COSCO SHIPPING LINES CO., LTD., COSCO SHIPPING LINES
(EUROPE) GMBH, ORIENT OVERSEAS CONTAINER LINE LIMITED, AND OOCL
(EUROPE) LIMITED FOR AN EXEMPTION FROM AGREEMENT FILING

On August 8, 2018, in Docket No. P2-17, the Commission granted the Petition of COSCO Shipping Lines Co., Ltd. ("COSCO"), Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively "OOCL") for an Exemption from Agreement Filing ("P2-17 Petition"). In its Order granting the P2-17 Petition ("P2-17 Order"), the Commission replicated as to COSCO and OOCL the exemption automatically applicable to wholly-owned subsidiaries pursuant to 46 C.F.R. 535.307, including its exemption from the provisions of Section 10(c) of the Act. In particular, the P2-17 Order says: (i) "agreements between or among COSCO and either OOCL or OOCL (Europe), or both, are exempt from the filing requirements of the Shipping Act and 46 C.F.R. Part 535"; and (ii) "the concerted activities of COSCO, OOCL, and OOCL (Europe) are exempt from 46 U.S.C. § 41105 to the extent that those activities result solely from agreements between or among COSCO and either OOCL or OOCL (Europe), or both. The P2-17 Petition and Order are incorporated herein by reference.

The P2-17 Petition did not cover a wholly-owned subsidiary of COSCO known as COSCO Shipping Lines (Europe) GmbH (FMC Org. No. 025509) ("COSCO (Europe)"), because COSCO (Europe) had not yet commenced operating as a vessel-operating common carrier in the U.S. foreign trades. Now that COSCO (Europe) is an ocean common carrier in the U.S. foreign trades, in particular the transatlantic trades, Petitioners respectfully petition the Commission, pursuant to 46 U.S.C. 40103(a); 46 C.F.R. §§ 502.92 and 535.301, for an exemption from the Shipping Act that would extend the P2-17 Order to COSCO (Europe). This would permit COSCO (Europe) to enter into agreements with OOCL and OOCL (Europe), without filing an agreement and waiting for it to become effective, as OOCL (Europe) and OOCL already can with COSCO.

The factual and legal bases for grant of this Petition are essentially the same as those in the P2-17 Petition and the P2-17 Order, except that the acquisition described in the P2-17 Petition has now taken place.

- COSCO's parent, CS Holdings, has acquired a majority share in OOCL's parent, Orient Overseas (International) Limited ("OOIL"), with an ownership interest of at least 58.5% and up to 90.1% of OOIL. As a result of the acquisition, COSCO, COSCO (Europe), OOCL, and OOCL (Europe), are now affiliates, under the common majority-ownership and control of CS Holdings. COSCO (Europe) is a wholly-owned subsidiary of COSCO,

so under the “full control” of CS Holdings, just as the Commission found about OOCL and OOCL (Europe). P2-17 Order at 9.

- This Petition meets the Shipping Act criteria for exemption for the exact same reasons the Commission cited in its P2-17 Order:

a. Commonly-owned and controlled companies, like wholly-owned affiliates, constitute a single business enterprise. P2-17 Order at 2.

b. In 1988, the Commission, upon the petition of Crowley Maritime Corp., created an exemption from the filing requirements of the Shipping Act/FMC regulations, and from the prohibitions regarding concerted activities set out in Section 10(c) of the Act, for agreements between or among a parent and its wholly-owned subsidiaries. 46 CFR § 535.307. In so doing, the Commission concluded that the exemption met all of the statutory criteria for granting an exemption.¹ This conclusion was based in significant part on the determination of the Supreme Court in *Copperweld Corp. v. Independence Tube Corp.*, 467 U.S. 752 (1984), that agreements among parent companies and their wholly-owned subsidiaries are not subject to the Sherman Act. P2-17 Order at 5.

c. The 1988 exemption did not explain why it was limited to wholly-owned subsidiaries, but the apparent reason is because that was the scope of Crowley’s request, so the matter of majority-owned and controlled subsidiaries was not considered by the Commission in that proceeding. P2-17 Order at 6.

d. In the P2-17 Order, the Commission determined that, as numerous federal courts have held, the rationale of 46 CFR § 535.307 and *Copperweld* applies equally to agreements among parents and their subsidiaries that, while less than wholly-owned, are “still under the parent’s legal ownership and control.” P2-17 Order at 7-8.

e. The Commission also examined the P2-17 Petition in light of the Supreme Court’s opinion in *American Needle, Inc. v. NFL*, 560 U.S. 183 (2010), where the Court recognized that, in cases involving natural competitors connected only by a “formalistic shell” entity – there a joint venture – the *Copperweld* rationale does not apply. After a thorough analysis, the Commission concluded that *American Needle* did not apply in this case, because COSCO, OOCL, and OOCL (Europe) are under the “full control” of CS Holdings, have a unity of interests, and “will operate in the best interests of CS Holdings”. See P2-17 order at 8-9.

f. Everything the Commission determined about COSCO, OOCL and OOCL (Europe) is equally true about COSCO, COSCO (Europe) OOCL and OOCL (Europe). As a wholly-owned subsidiary of COSCO, COSCO (Europe) has the same unity of interest as COSCO does with OOCL and OOCL (Europe). Moreover, given that 100

¹ At the time that the FMC promulgated this exemption, the Shipping Act required that four criteria be met in order for the Commission to issue an exemption. Two of those criteria were eliminated by OSRA in 1998.

percent ownership, COSCO (Europe) is under the full control of COSCO, and will act in the best interests of CS Holdings. If COSCO (Europe) were, for some reason, to stop operating in the best interest of CS Holdings, CS Holdings could, as sole owner, direct COSCO (Europe) back on the desired path.

g. Accordingly, as the Commission determined in the P2-17 Order (at 10): "Because agreements between COSCO [or COSCO (Europe)] and OOCL or OOCL (Europe) would not raise implications under §1 of the Sherman Act, granting petitioners an exemption akin to 46 C.F.R. § 535.307 would not, in this specific instance, result in a substantial reduction in competition or be detrimental to commerce.

For these reasons, Petitioners respectfully request that the exemption granted by the P2-17 Order be extended to include COSCO Shipping Lines (Europe) GmbH.

Respectfully submitted,

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